Private ownership is clearly desirable in regulated industries, ranging from, finance to infrastructure, where a government agency performs the function of regulation and multiple competing firms are located in the private sector. Here, the simple and clean solution-government as the umpire and the private sector as the players is what works best. In many of these industries, we have a legacy of government ownership, where productivity tends to be lower, fear of bankruptcy is absent, and the risk of asking for money from the tax payer is ever present.

There is also the conflict of interest between government as an owner and as the regulator. The formulation and implementation of competition policy will be more vigorous and fair if government companies are out of action.

23. According to the passage, what is/ are the reason/reasons for saying that the time has come to review the role of public sector ?

1. Now public sector has lost its relevance in the industrialization process.
2. Public sector does not perform satisfactorily.
3. Entrepreneurship in private sector is expanding
4. Effective competition policies are available now.

Which of the statements given above is/are correct in the given context?

(a) 1 and 3 only
(b) 2 only
(c) 2, 3 and 4
(d) 1, 2, 3 and 4

Ans. (c) According to the passage, the public sector or the state led entrepreneurship played an important role in triggering India's industrialization, our evolving development needs, comparatively less than satisfactory performance of the public sector enterprises, the maturing of our private sector, a much larger social base now available for expanding entrepreneurship and growing institutional capabilities to enforce competition policies. Thus statement 2, 3, 4 are correct so option (c) is correct.

24. According to the passage, rural roads should be in the domain of public sector only. Why?

(a) Rural development work is the domain of government only.
(b) Private sector cannot have monetary gains in this.
(c) Government takes money from tax payers and hence it is the responsibility of government only.
(d) Private sector need not have any social responsibility.

Ans. (b) According to the passage, the rural roads whose sparse traffic make tolling unviable, have to be on the balance sheet of the state. If the government did not own rural roads, they would not exist and also private sector cannot have monetary gains in this thus option (b) is correct.

25. The portfolio composition of the government refers to

(a) Public sector assets quality.
(b) Investment in liquid assets
(c) Mix of government investment in different industrial sectors.
(d) Buying Return on Investment yielding capital assets.

Ans. (c) According to the passage, we can cleary understand that the portfolio of composition of the government refers to mix of government investment in different industrial sector.

26. The author prefers government as the umpire and private sector as players because

(a) Government prescribes norms for a fair play by the private sector
(b) Government is the ultimate in policy formulation
(c) Government has not control over private sector players.
(d) None of the above statements is correct in this context.

Ans. (a) According to the passage, private ownership is clearly desirable in regulated industries ranging from, finance to infrastructure, where a government agency performs the function of regulation and multiple competing firms are located in the private sector. Here, the simple and clean solution - government as the umpire and the private sector as the players is what works best. Thus option (a) is correct.

LOGICAL & ANALYTICAL ABILITY

27. Examine the following figure :

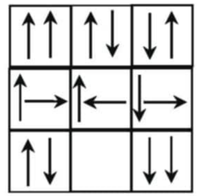


Which one of the following figures has the above figure embedded in it ?

(a) 
(b) 
(c) 
(d) 

Ans. (c)

28. Consider the following matrix :



Which one of the following figures fits into blank part of the above matrix?

(a) 
(b) 
(c) 
(d) 

Ans. (b) In the given matrix:- Coming from top to bottom, one arrow is constant while the other arrow is rotating 90º each time in a clockwise direction

29. Consider the table given below in which the numbers bear certain relationship among themselves along the rows:

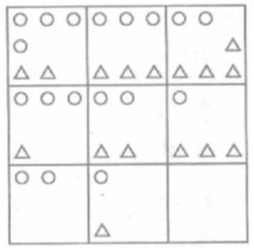
29	**13**	**18**
33	**x**	**19**
30	**27**	**3**

Which one of the following numbers is the missing number indicated above by X ?

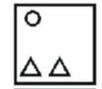
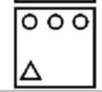
(a) 19 (b) 15
(c) 14 (d) 8

Ans. (b/d) Just as,
29 + 13 + 18 = 60
30 + 27 + 3 = 60
Similarly,
33 + X + 19 = 60
X +52 = 60
X = 8
* According to UPSC (b/d).

30. Consider the following matrix with one empty block in the lower extreme corner :



Which of the following figures could fit in the empty block and thus complete the matrix ?

(a) 
(b) 
(c) 
(d) 

Ans. (a) In the given matrix- Coming from top to bottom, A circle and a triangle are getting lesser.

31. ''Liberty, therefore, is never real unless the Government can be called to account when it invades rights.''
Which one of the following is the best justification of the above statement ?

(a) In the realisation that the government can be brought to book in a court of law
(b) In identifying-a man as a political unit in a way which distinguished him from other citizens
(c) In a decentralized society wherein the basic needs of men can find satisfaction
(d) In the understanding that liberty and restraints are complementary.

Ans. (d) According to the question, liberty is only real when anyone who violates it can be held accountable even when it is the movement i.e. the most powerful organisation of any country.
Hence, the (1st) option i.e. ' In the realisation that the government can be brought to book in a court of Law,' is the best justification of the given statement.
* But, according to UPSC (2014) official answer key option (d) is the correct answer.

32. A question paper must have a question on one of the eight poets : A, B,C, D, E,F,G or H. The first four belong to the medieval period while the rest are considered modern poets. Generally, modern poets figure in the question paper in alternate years. Generally those who like H like G also; and those who like F like E also. The paper-stter does not like to ask about F as he has written a book on F, but he likes F. Last year, the paper contained a question on A. On the basis of the information given, this year's paper is most likely to contain a question on

(a) C (b) E
(c) F (d) H

Ans. (b) ∵ Poets of medieval period = A, B, C, D and poets of modern period = E, F, G, H
∵ Generally, modern poets figure in the question paper in alternate years and lost year, the paper contained a question on A
That means,
This year, the paper will contain on one of the poets of modern period i.e., E,F,G,H.